



**Title: Samsung's FDI Strategy in Bangladesh: A Policy Analysis for Semiconductor
Manufacturing in Sylhet Hi-Tech Park**

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Abstract

This paper considers the proposed \$5 million foreign direct investment (FDI) of Samsung Electronics in the semiconductor manufacturing industry at Sylhet Hi Tech Park in Bangladesh. It assesses the foreign investment scenario in Bangladesh, incentives offered by the government to attract high tech manufacturing, some of the major barriers to investments (including political, regulatory and infrastructure risks) and suggests policy-oriented recommendations that can help maximize Samsung's investment success. Using real time data and global semiconductor trends, the analysis indicates that while Bangladesh offers competitive tax incentives, access to a large pool of labor and attitudinal policy frameworks are brought under the BIDA's One Stop Solution, there are still barriers such as bureaucratic red tape and lack of infrastructure affecting the investment process. The paper concludes with specific recommendations to the Bangladeshi government to boost the competitiveness in global semiconductor value chains.

Introduction

Background History

The semiconductor industry - with global demand for memory, logic, AI and IoT chips - is projected to reach more than \$1.3 trillion by 2030, and the infrastructure and capacity to produce the chips is fundamental to countries worldwide. This increase has contributed to new investments in Asia, Europe, and North America as countries compete in an attempt to attract high tech manufacturing. (GSA, 2025)

Samsung Electronics, one of the largest semiconductor manufacturers in the world, is considering diversification into new markets globally and Bangladesh is among them. This paper explores the merits of Bangladesh as investment destination of a 5m USD semiconductor manufacturing project and particularly focuses on Sylhet Hi Tech Park as a venue of investment.

Research Questions –

1. *What are the incentives in Bangladesh and by the Bangladesh authorities for attracting Samsung?*
2. *What are the barriers and country risks that may affect the decision and performance of Samsung?*
3. *What reform in the policies can make Bangladesh more attractive for semiconductor FDI?*

This paper takes a policy maker's perspective and combines country risk analysis, investment incentives as well as real time data.

Project overview: 5 million USD FDI in Sylhet Hi-Tech Park

From a policy maker's viewpoint, the proposed Samsung project can be characterized to be a focused and export-oriented assembly and testing investment as opposed to a full-scale wafer fabrication plant. Key elements include:

- Investment size and type: 5 million USD in greenfield semiconductor assembly and testing capacity based in Sylhet Hi-Tech Park.

- Location rationale: Sylhet Hi-Tech Park offers government support, park-level infrastructure, and a location outside Dhaka that aligns with regional development objectives and extended tax holidays.
- Indicative allocation of funds:
- ERP systems, digital tools, and automation software: around 0.7–1.0 million USD.
- Machinery, cleanroom equipment, assembly/testing lines: around 2.5–3.0 million USD.
- Factory setup, leasehold improvements, utilities connections: around 1.0–1.2 million USD.
- Training programs and initial working capital: remaining amount.
- Employment and outputs: The facility is expected to generate high-skill engineering and technician positions as well as support and administrative roles, with output primarily targeted to regional export markets in South Asia and ASEAN.

This operationalization of the 5 million USD project clarifies the type of support and policy focus required from the host government.

Scoring Model & Feasibility Check

Purpose of the Scoring Model

The objective of this initial screening model is to provide a quantitative first-stage feasibility assessment of Bangladesh as a host country for Samsung's semiconductor manufacturing investment in Sylhet Hi-Tech Park. This model converts qualitative country conditions into measurable scores, supporting investment decision-making.

Screening Criteria and Weight Assignment

The criteria and weights are chosen based on the specific requirements of semiconductor manufacturing, which is capital-intensive, infrastructure-dependent, and sensitive to political and financial risks.

Bangladesh: Initial Screening Scores:

(Each criterion is scored on a **1–5 scale**, 1 being very unfavorable and 5 as highly favorable.

Criterion	Weight (%)	Rationale	Score (1–5)	Weighted Score
Market & Export Access	15	Export-oriented semiconductor demand	3	0.45
Government Incentives	15	Capital recovery and cost reduction	4	0.60
Labor Cost & Availability	15	Large workforce requirement	5	0.75
Skilled Labor & Technology Base	15	Process reliability & quality	3	0.45
Energy & Infrastructure Reliability	20	Critical for semiconductor fabs	3	0.60
Regulatory & Administrative Environment	10	Project execution risk	3	0.30

Criterion	Weight (%)	Rationale	Score (1–5)	Weighted Score
Political & Financial Risk	10	Long-term cash flow stability	3	0.30
Total	100%		3.75 / 5.00	3.75 / 5.00

Interpretation of Results

Overall Score: 3.75 / 5.00

Classification: Conditionally Feasible

Bangladesh passes the first-stage screening test. However, its feasibility is conditional upon infrastructure upgrades, skilled labor development, and regulatory efficiency improvements.

Strategic Implications for the Semiconductor Firm

Score Range	Interpretation
4.0 – 5.0	Highly feasible
3.0 – 3.9	Conditionally feasible
2.0 – 2.9	High risk
Below 2.0	Not feasible

Based on the analysis, Bangladesh is suitable for back-end semiconductor activities like assembly, testing, and packaging. However, the country's infrastructure and skilled labor force would need to be strengthened before advanced wafer fabrication could be considered.

- **Phased investment strategy:** Samsung should begin with assembly/testing operations and gradually expand as infrastructure and skilled labor improve.

Bangladesh’s Foreign Investment Landscape

1.1 Investment Policy Framework

Bangladesh has liberalized its economic policies to attract foreign investment. Foreign entities are allowed to own, operate, and repatriate profits, and sectors such as electronics, ICT, energy, and manufacturing are open for investment. (US Department of State, n.d.)

The Bangladesh Investment Development Authority (BIDA) oversees foreign investment approvals and provides counseling, approvals, and incentives via its One-Stop Service (OSS) portal which streamlines bureaucratic processes. (Bangladesh Investment Development Authority, n.d.)

1.2 Sector Incentives: Focus on Semiconductors

Bangladesh is actively promoting the semiconductor and electronics manufacturing sector, aiming to develop it into a competitive export industry. The government’s official investment promotion portal highlights opportunities in chip fabrication, design, and assembly supported by full foreign ownership, tax benefits, and infrastructure support through Hi-Tech parks. (BIDA, 2025)

Incentives Encouraging DFI (Pull factors)

Table 1: Comparative Incentives (Bangladesh vs Global)

Incentive Type	Bangladesh	US	India
Tax Holiday	Yes (5-7 yrs)	Yes (CHIPS)	Yes (PLI)
Subsidized Land	Yes	No	Planned zones
Full Ownership	Yes	Yes	Yes

Incentive Type	Bangladesh	US	India
Export Duty Waivers	Yes	No	Yes

Bangladesh incentives are competitive in EPZ/Hi-Tech parks (Opportunities for Investment in Bangladesh, 2025)

2.1 Tax Incentives

The Bangladesh government offers:

- Tax holidays of 5-7 years for industrial enterprises in Hi-Tech parks (longer for non-core divisional locations such as Sylhet). (Opportunities for Investment in Bangladesh, 2025)
- Corporate tax reductions and exemptions on imported capital machinery.
- Exemptions on raw materials and intermediate goods for export-oriented industries. (Generis Global Legal Services, 2024)

2.2 BIDA's One-Stop Solution

BIDA's OSS portal provides:

- Time-bound approvals.
- Integrated services across regulatory bodies.
- Assistance in work permits, land allocation, and legal advisory.

This reduces bureaucratic delays - a common FDI deterrent - and is a key factor in investors' decision-making processes.

2.3 Infrastructure Support

Sylhet Hi-Tech Park is part of a broader network of technology parks administered by the Bangladesh Hi-Tech Park Authority, designed to provide ready-to-use facilities and infrastructure to high-tech manufacturers. (Wikipedia , n.d.)

Barriers to Samsung's DFI (Pushback)

3.1 Bureaucratic and Regulatory Barriers

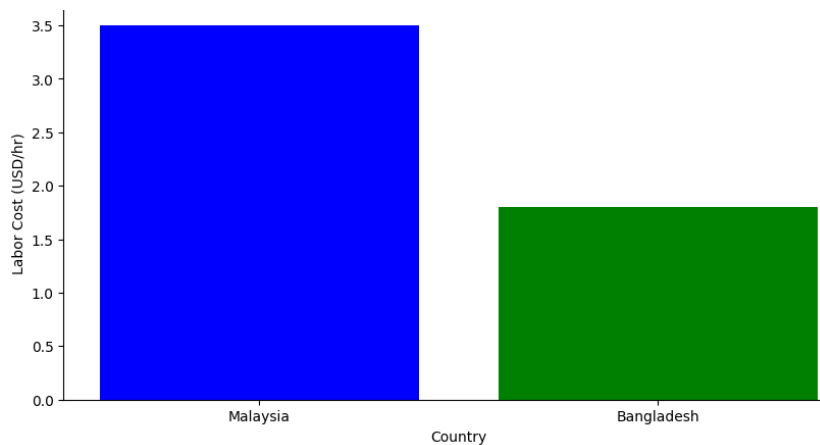
Despite OSS, investors report slow implementation at local administrative levels. Regulatory uncertainties and procedural delays can still postpone project launch phases.

3.2 Infrastructure Limitations

Bangladesh faces ongoing challenges in logistics, transport connectivity, and semiconductor-optimized utilities (especially uninterrupted power supply) that can affect precision manufacturing.

3.3 Labor Skill Gaps

While Bangladesh produces many engineers annually, advanced semiconductor fabrication skills (clean room operations, wafer handling, process engineering) are still limited. Partnerships with universities and training programs would be necessary. (Industry Insider, 2025)



As shown in the chart, labor costs in Bangladesh are significantly lower than in Malaysia, providing Samsung with a cost advantage for

establishing a semiconductor manufacturing plant in Sylhet Hi-Tech Park.

Incentives and the role of BIDA's OSS

4.1 Fiscal and non-fiscal incentives

The incentives of the high-tech investors in Bangladesh is a combination of fiscal incentives as well as non-fiscal facilitation. The monetary instruments comprise of corporate tax holidays, lower rates of tax on exports, exempting of imported capital machineries, and free access to raw materials and intermediate goods to export oriented departments. The non fiscal instruments include availability of serviced industrial space in the Hi-Tech parks, simplified customs, and preferential treatment in the utility provision. In the case of 5 million USD project of Samsung, such incentives reduce the rate of return hurdle directly and reduce start-up expenses. Being situated in Sylhet Hi Tech Park also enables the investor to enjoy the region-specific tax benefits besides facilitating balanced regional development objectives.

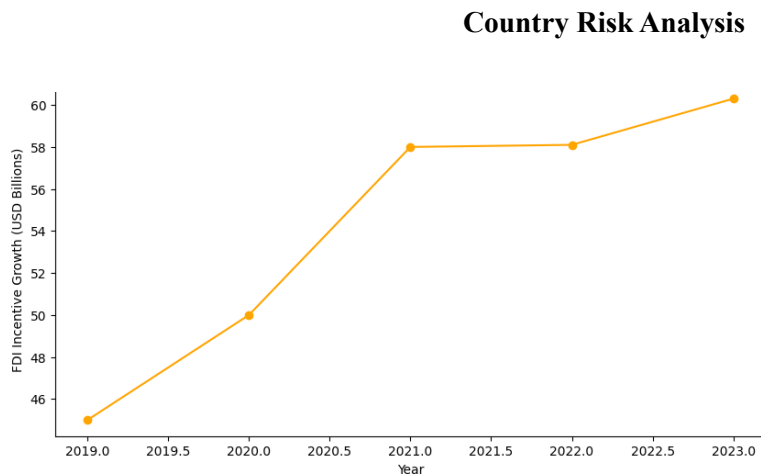
4.2 BIDA's One-Stop Service as a strategic lever

The OSS of BIDA is core in changing Bangladesh to an easy as opposed to a facilitative host environment. The OSS includes the company registration, tax identification, environmental approval, connection to utilities, and work permission in one interface with time restriction service. Nonetheless, OSS can only work appropriately through the provision of real time data and adherence of all line ministries and local authorities. In the case of Samsung, a perfectly operating OSS may significantly reduce the time of the project approval and the start of operations, reducing uncertainty and indirect cost.

4.3 Labor, skills, and technological capability

Bangladesh also boasts of a large pool of technically viable workforce as demonstrated by the increased number of engineering, ICT, and technical graduates every year. The pay of professional technicians and engineers is lower than in other established semiconductor centers, giving Samsung a structural cost benefit. Basic competence is not the challenge but specialized semiconductor skills,

in particular, cleanroom discipline, process control, and yield optimization. To overcome this, the government can collaborate with Samsung and local universities to start a facility in Sylhet Hi Tech Park called Semiconductor Skills Academy which will consist of both classroom training and hands on training. Scholarships, sponsored by the government, and capacity building programs focused on semiconductor specific syllabi will assist in closing the skills gap at an advanced level and also indicates a long-term political commitment.



This graph illustrates the growth of FDI incentives in the semiconductor sector globally from 2019 to 2023. With increased government support across various regions, Bangladesh's FDI incentives are poised to compete on a global scale.

5.1 Political Risk

The political instability in Bangladesh, the periodic political unrest, and the changes in policies related to the upcoming employment are a risk of influencing the FDI stability and confidence of investors.

5.2 Financial Risk

Unless hedged against, currency fluctuations and inflation may affect the cost plan and value of profit repatriation. Nonetheless, it is legally assured through the foreign investment regime of Bangladesh through repatriation. (ReCom Consulting Ltd, 2025)

Comparison: Global FDI Incentives

- **USA-** CHIPS Act funding (\$4.7B+). (USDOC, 2024)
- **China-** Tax exemptions for legacy fabs. (SIA, 2022)
- **India-** ~\$30B incentives for semiconductor cluster. (SIA, 2022)
- **Bangladesh-** Tax holiday + OSS + full ownership. (mofa, 2025)

This global perspective emphasizes how Bangladesh's incentives compare with world leaders, highlighting opportunities and limitations.

Samsung's Strategic Fit & Justification

Samsung's Device Solutions Division operates globally across memory, logic, and foundry businesses, and has received substantial incentives in countries such as the USA. (Nasdaq, 2024)

Entering Bangladesh:

- Low labor cost vs established hubs.
- Export potential to South Asia and ASEAN markets.
- Opportunity to participate in the emerging semiconductor value chain in Bangladesh.

Policy Recommendations (As Policy-Maker)

6.1 Streamline Implementation of OSS Across Ministries

- Strict time limits (e.g., 30 days) on processing of core approvals within the OSS are legally required, meaning that in this way the agencies do not have to act, and a de facto approval is given.

- Establish a special Semiconductor FDI Cell in BIDA, to make all the clearances, act on behalf of Samsung and also to watch show performance indicators across the agencies.

6.2 Infrastructure Upgrades

Prioritize:

- 24/7 power grids dedicated to Hi-Tech parks with long-term tariff stability commitments to support precision manufacturing.
- Fast access logistics to ports/airports and introduce priority customs lanes for semiconductor inputs and exports.

6.3 Educational Partnerships

- Establish a “Semiconductor Skills Academy” in partnership with Samsung, BHTPA, and leading universities to provide specialized training in cleanroom operations, process control, and testing.
- Offer government-funded scholarships, tax deductions, or co-financing for companies that invest in structured semiconductor training programs.

6.4 Mitigate financial and country risk

- Make hedging equipment to deal with exchange rate fluctuations and the partial mechanism of risk sharing in long term contracts easy.
- Make policies stable by pledging to a medium-term roadmap that will lead to tax and regulatory treatment of investments in semiconductors, signed at the very highest political level.

Such actions would transform the existing incentive system into more credible, action-oriented atmosphere that will solve practical concerns at Samsung.

Conclusion

Samsung's proposed 5 million USD FDI in semiconductor assembly and testing at Sylhet Hi-Tech Park aligns with Bangladesh's ambition to enter the global high-tech manufacturing value chain. Bangladesh already offers strong pull factors - tax incentives, low-cost technically sound labor, Hi-Tech Park infrastructure, and BIDA's OSS - yet faces pushback in the form of bureaucratic delays, infrastructure constraints, skill gaps, and macro-financial risks. From a policy-maker perspective, the priority is to deepen and enforce OSS, upgrade park-level infrastructure, invest in targeted skills development, and provide credible guarantees of policy and financial stability. If implemented effectively, these reforms can turn the host government into Samsung's greatest ally, ensuring that the Sylhet project becomes a foundation for a broader semiconductor ecosystem in Bangladesh rather than an isolated investment.

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